DSEH004 Performance Management and Employee Engagement

Week 6 | Lecture 1 | Unit I to Unit II bridge

Psychological Contracts and Trust Repair

What employees believe they were promised, what happens when the promise breaks, and how trust is rebuilt

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Quiz 3

Quiz at the start of the session.
Select every option that applies. Closed book, closed phone.

Commit before theory

A firm keeps every clause of the written employment contract, yet a strong performer resigns saying she was let down. What best explains this?

A She misread the contract; the firm did nothing wrong

B A belief about reciprocal obligations was broken, even though no legal term was

C Pay was below market, so this is a compensation problem

D Exit is normal attrition and needs no explanation

Rousseau: a contract held in the mind

A psychological contract is an individual's belief about the terms of a reciprocal exchange with the organization, based on promises that may be explicit or only implied

Individual

Held by one person; two employees in the same role can hold different contracts

Promise based

Rests on perceived promises, not on expectations in general

Reciprocal

Each side owes something; contribution is traded for inducements

Two kinds of contract, two kinds of loyalty

Transactional

- Short term, specific, mostly economic
- Narrow duties, clear exit terms
- Low emotional investment from both sides
- Typical of fixed-term and project work

vs

Relational

- Open ended, broad and socio-emotional
- Loyalty, growth and security exchanged for commitment
- High emotional investment and identification
- Typical of long-tenure, career employment

Breaking a relational contract costs far more than breaking a transactional one, because more of the self was invested

Breach is not the same as violation

Unmet promise

The organization fails to deliver something the employee believed was promised

Perceived breach

A cognitive judgment: the employee notices and compares what was promised with what was received

Interpretation

Was it reneging or incongruence? Was it fair? Was it intended?

Violation

An emotional state of anger and betrayal that follows breach

Morrison and Robinson (1997): the step from breach to violation depends on how the employee interprets the cause and the fairness of what happened

What the evidence shows about breach

1 Breach is common

Robinson and Rousseau (1994) found many recent graduates reported contract violation within the first two years, with lower trust, satisfaction and intention to stay

2 Emotion carries the effect

Zhao and colleagues' meta-analysis (2007): breach relates to attitudes and behavior largely through affect, that is violation and mistrust

3 Behavior follows

Breach is associated with lower commitment, lower in-role performance and less citizenship behavior

Implication: the first two years of employment are where most contracts are formed and most are broken

Mayer, Davis and Schoorman: why we trust

1 Ability

Can this person or system actually deliver in this domain?

2 Benevolence

Do they want to do good for me, beyond self-interest?

3 Integrity

Do they keep to principles I find acceptable, consistently?

Trust is the willingness to be vulnerable to another party; it also depends on the trustor's propensity to trust and on the risk in the situation

Repair depends on what kind of trust broke

Type of violation

Competence violation + apology

Tends to work better: admitting a skill failure is credible and signals intent to improve

Competence violation + denial

Tends to work less well when evidence of the failure exists

Integrity violation + apology

Risky: admitting guilt confirms a character flaw that people expect to persist

Integrity violation + denial

Tends to work better if the denial is credible; fails badly once guilt is shown

Response chosen by the organization

Organization-level trust repair

Immediate response

Acknowledge the incident, express regret, commit to investigate

Diagnosis

Find causes across people, systems and culture, not only individuals

Reforming interventions

Distrust regulation (controls) plus trustworthiness demonstration (visible good acts)

Evaluation

Check whether ability, benevolence and integrity perceptions recover

Gillespie and Dietz (2009): repair needs both constraints that prevent repeat failure and signals that show good intent

Three lenses on the same broken promise

Lens	Diagnoses	Prescribes	Blind spot
Psychological contract	What was believed promised and how breach was read	Clarify promises early; manage interpretation of breach	Hard to observe; beliefs differ by person
Trust model	Which trustworthiness factor fell	Repair the specific factor that fell	Says less about the content of the exchange
Social exchange	Whether reciprocity norms were upset	Restore balance of inducements and contributions	Can reduce people to exchange accounting

A promise made at the campus interview

Teaching case (Course framing)

A Pune auto components firm hires 40 engineers. At campus interviews, managers speak warmly of rotation across plants within two years. Nothing is written. After 26 months only six have rotated. Exit interviews mention betrayal, not pay. The plant head says no promise was ever made.

Work it through

1. Is this reneging or incongruence? What evidence would tell you?
2. Which trustworthiness factor has fallen most?
3. Should the firm apologize, explain, or deny? Defend the choice with Kim et al. (2004)
4. What should change in next year's recruitment conversations?

Common confusions to avoid

A tempting reading	A better reading
Trust is a feeling, so HR cannot manage it	Trust rests on judgments of ability, benevolence and integrity, each of which actions can change
Every unmet expectation is a breach	Breach concerns perceived promises; general hopes are weaker and hurt less
An apology always helps	Apology helps more for competence failures and can backfire for integrity failures

Exam-style question

Distinguish psychological contract breach from violation. Using one Indian organizational example, explain how the type of breach should shape the trust-repair strategy. (20 marks)

What a strong answer does

- Defines the contract as belief based and reciprocal, and separates transactional from relational forms
- Explains breach as cognitive and violation as emotional, with interpretation in between
- Applies Mayer et al. and Kim et al. to choose between apology and denial
- Proposes organization-level repair with both controls and visible good acts, and notes limits

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